

- RAG Learning

2.3 Managing Finance

Business — Edexcel (9BS0) — Theme 2: Managing business activities

This topic is about measuring financial performance: how profitable a business is, whether it has enough liquid resources to pay its bills, and why businesses fail. It introduces the two main financial statements — the **statement of comprehensive income** (income statement, or profit and loss account) and the **statement of financial position** (balance sheet) — and the ratios from Appendix 4 of the specification that must be learned: gross, operating and net profit margins, the current ratio and the acid test ratio. The single most important idea is that **profit and cash are not the same**: a profitable business can fail through lack of cash, and many do.

Gross profit — revenue minus cost of sales (the direct costs of the goods sold).

Operating profit — gross profit minus other operating expenses (overheads such as rent, salaries, marketing).

Profit for the year (net profit) — operating profit minus interest (the specification's definition; in published accounts tax is also deducted).

Profitability — profit relative to the size of the business or its revenue, measured by margins.

Liquidity — the ability of a business to meet its short-term debts as they fall due.

Current assets — assets likely to be turned into cash within a year: inventory (stock), receivables (debtors), cash.

Current liabilities — debts payable within a year: payables (trade creditors), overdraft, short-term loans, tax due.

Working capital — current assets minus current liabilities: the finance available for day-to-day operations.

2.3.1 Profit

a) Calculation of gross profit, operating profit and profit for the year

Statement of comprehensive income (extract)	£000	Formula / margin
Revenue	800	
– Cost of sales	(480)	
= Gross profit	320	Gross profit margin = $320 \div 800 \times 100 = 40\%$
– Other operating expenses	(200)	
= Operating profit	120	Operating profit margin = $120 \div 800 \times 100 = 15\%$
– Interest	(20)	
= Profit for the year (net profit)	100	Net profit margin = $100 \div 800 \times 100 = 12.5\%$

Cost of sales = opening inventory + purchases – closing inventory; for a service business it is the direct cost of providing the service.

b) Measuring profitability — the margins

Gross profit margin = $\text{Gross profit} \div \text{Revenue} \times 100$

Operating profit margin = $\text{Operating profit} \div \text{Revenue} \times 100$

Profit for the year (net profit) margin = $\text{Profit for the year} \div \text{Revenue} \times 100$

Interpreting margins: a margin shows how many pence of profit each £1 of revenue generates. Compare margins **over time** and **against competitors in the same industry** — absolute levels differ enormously by sector (UK supermarkets typically make operating margins of around 2–5%; software firms often exceed 20%).

- A falling **gross** margin points to rising direct costs (materials, energy) not passed on, or price cuts.
- A gross margin that is stable while the **operating** margin falls points to rising overheads.
- A gap between operating and net margins reflects interest costs — a sign of heavy borrowing.

Worked comparison: the next year revenue rises to £900,000, gross profit to £342,000 and operating profit to £117,000. GP margin = 38%; OP margin = 13%. Revenue grew by 12.5%, but both margins fell — the business is selling more but earning less on each pound. Profit in absolute terms fell slightly too.

Ways to improve profitability

Method	How it works	Risk / drawback
Raise prices	Increases revenue per unit	Sales may fall if demand is price elastic
Reduce direct costs	Cheaper suppliers, bulk buying, less waste	Quality may fall; damage to brand
Reduce overheads	Cheaper premises, delayering, outsourcing, energy efficiency	Service levels and morale may suffer
Increase efficiency / productivity	Lower unit costs through technology, training, lean production	Investment cost upfront
Change product mix	Focus on higher-margin products	May lose customers who want the full range
Increase sales volume	Spreads fixed costs; economies of scale	Needs marketing spend; capacity limits

c) Distinction between profit and cash

Profit is the difference between revenue and costs over a period; cash is the money the business actually holds. They differ because:

- **Credit sales** — revenue is recorded when the sale is made, but the cash arrives later (e.g. 60 days).
- **Credit purchases** — costs are recorded before suppliers are paid.
- **Capital spending** — buying equipment uses cash immediately but is charged against profit gradually through depreciation.
- **Loans and share capital** bring in cash but are not revenue; loan repayments use cash but are not costs.
- **Inventory** — buying stock uses cash before the goods are sold.

A business can be profitable but short of cash (fast growth, called **overtrading**, where cash is tied up in stock and receivables), or cash-rich but unprofitable (a loss-making firm that has just raised a loan). In the short run cash matters more for survival; in the long run profit is needed.

Exam Tip: "Cash is king" answers need a causal chain, not a slogan: a builder completes £200,000 of profitable work, but the client pays in 90 days; meanwhile wages and suppliers must be paid now; without an overdraft the firm cannot pay them and may be forced into insolvency despite being profitable. That is the analysis Edexcel rewards.

2.3.2 Liquidity

a) Statement of financial position (balance sheet)

A snapshot of what a business owns (assets) and owes (liabilities) at a particular date, and how it is financed. The specification's layout:

Statement of financial position	£000
Non-current assets (property, machinery, vehicles)	400
+ Current assets: inventory 60, receivables 45, cash 15	120
– Current liabilities (payables, overdraft)	(80)
– Non-current liabilities (long-term loans)	(150)

= Net assets	290
Share capital	100
+ Retained profit (reserves)	190
= Total equity	290

Net assets always equal total equity — that is why it “balances”. **Capital employed** = total equity + non-current liabilities = 290 + 150 = £440,000 (used in gearing and ROCE, which are covered in 3.5).

Measuring liquidity

Current ratio = Current assets ÷ Current liabilities

Acid test ratio = (Current assets – Inventory) ÷ Current liabilities

Worked example (from the balance sheet above):

- Current ratio = $120 \div 80 = 1.5 : 1$
- Acid test ratio = $(120 - 60) \div 80 = 60 \div 80 = 0.75 : 1$

Ratio	Usual guide	Too low	Too high
Current ratio	Around 1.5–2 : 1	May struggle to pay short-term debts	Too much tied up in idle stock or cash that could be invested
Acid test	Around 1 : 1	Relies on selling stock to pay debts	Inefficient use of resources

Interpretation: the current ratio looks comfortable, but the acid test of 0.75 shows that without selling its stock the business could cover only 75p of every £1 of short-term debt. The acid test excludes inventory because stock may be slow to sell or have to be sold at a discount. What counts as “healthy” depends on the industry: supermarkets such as Tesco routinely operate with current ratios below 1 because they sell stock for cash long before they pay suppliers.

Ways to improve liquidity

- **Reduce inventory** — sell off excess stock (discounting), move towards JIT.
- **Collect receivables faster** — chase late payers, shorten credit terms, offer early-payment discounts, use debt factoring.
- **Negotiate longer credit from suppliers** (but this can strain relationships).
- **Sale and leaseback** of non-current assets to release cash.
- **Convert short-term debt to long-term** — replace an overdraft with a loan, reducing current liabilities.
- **Raise new capital** — issue shares or inject owner's capital.

Note that selling stock at a discount to raise cash reduces profit margins, and delaying supplier payments may cost early-payment discounts — liquidity and profitability can trade off.

b) Working capital and its management: the importance of cash

Working capital = Current assets – Current liabilities (example: 120 – 80 = £40,000)

The working capital (cash) cycle: cash → buy materials → production → finished goods (inventory) → sales on credit (receivables) → cash. The longer the cycle, the more working capital is needed. Businesses manage it by keeping inventory low, collecting receivables quickly and paying payables as late as is reasonable.

Why cash is important: cash pays wages, suppliers, rent, taxes and interest. A business that cannot pay debts as they fall due is **insolvent** and can be forced into administration or liquidation by its creditors. Holding too much cash, however, has an opportunity cost: it could be invested for a return.

2.3.3 Business failure

a) Internal and external causes of business failure

	Financial factors	Non-financial factors
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Internal	Poor cash-flow management; overtrading; too much debt (high gearing and interest); poor credit control; weak cost control; inaccurate forecasting and budgeting; underpricing	Poor management and leadership; failure to adapt to market change; weak marketing; poor product quality; low staff motivation; lack of innovation; over-reliance on one customer or supplier
External	Rising interest rates; rising input costs (energy, materials); recession reducing demand; exchange-rate movements; banks withdrawing credit; customers failing to pay	New competitors (including online); changing tastes; new legislation; technological change; external shocks (pandemics, wars, supply disruption)

Examples

- **Wilko (2023)** — rising costs, heavy online competition from Amazon and discounters, weak investment and a pension deficit; entered administration with the loss of around 12,000 jobs.
- **Carillion (2018)** — took on low-margin contracts, very high debt and aggressive accounting; ran out of cash despite reporting profits.
- **Thomas Cook (2019)** — heavy debt from past mergers, failure to adapt to online travel booking, and uncertainty ahead of Brexit.
- **Bulb Energy (2021)** — the wholesale gas price shock under the price cap made each unit supplied loss-making; an external shock exposing an internal weakness (no hedging).

Exam Tip: Failure rarely has one cause. The strongest answers show how an **external** trigger (a rise in interest rates) exposes an **internal** weakness (high borrowing), and how **non-financial** problems (failure to adapt) turn into **financial** ones (falling revenue, cash shortage). Judging which factor was most significant for the business in the extract is the evaluation.

Common mistakes

- Calculating margins over cost instead of over revenue.

- Stating a margin as a monetary figure — margins are percentages; profit is £.
- Confusing profitability (margins) with liquidity (current and acid test ratios).
- Saying “a higher current ratio is always better”.
- Including inventory in the acid test.
- Treating a loan received as revenue, or a loan repayment as a cost in the income statement.
- Writing ratios as percentages — the current and acid test ratios are expressed as $x : 1$.

Quick recall

- Revenue – cost of sales = gross profit; – other operating expenses = operating profit; – interest = profit for the year
- Margins = $\text{profit} \div \text{revenue} \times 100$ (gross, operating, net)
- Improve profitability: raise price, cut direct costs or overheads, productivity, product mix
- Profit $\neq$ cash: credit sales and purchases, capital spending, loans, inventory
- Current ratio = $\text{CA} \div \text{CL}$ (about 1.5–2); acid test = $(\text{CA} - \text{inventory}) \div \text{CL}$ (about 1)
- Improve liquidity: cut stock, collect debts, delay payments, sale and leaseback, refinance, new capital
- Working capital = $\text{CA} - \text{CL}$; insolvency = cannot pay debts as they fall due
- Failure: internal/external $\times$ financial/non-financial; usually a combination